

CASH FORECAST REPORT

Cash Forecast / January–June 2026

Purpose: To estimate future cash availability under Base, Stress and Optimistic scenarios using the cash forecast calculated in the Financial Intelligence workbook. The report focuses on collections, operating expenses, net cash generation and projected closing cash.

1. Executive Summary

The forecast begins with opening cash of ₹3.14 crore. Average expected monthly collections are ₹21.31 lakh, while average forecast expenses are ₹8.69 lakh. Under the Base scenario, the business generates approximately ₹0.76 crore of cumulative net cash flow over six months and reaches projected June closing cash of ₹3.90 crore.

Under the Stress scenario, June closing cash remains approximately ₹3.65 crore. The Optimistic scenario increases June closing cash to approximately ₹4.08 crore. The key sensitivity is the conversion of receivables into actual cash and the control of operating expenditure.

2. Scenario Definitions

Scenario	Collection Assumption	Expense Assumption	Interpretation
Base	100% of expected collections	100% of forecast expenses	Most likely operating case.
Stress	85% of expected collections	110% of forecast expenses	Slower collections plus cost pressure.
Optimistic	110% of expected collections	90% of forecast expenses	Faster collections plus stronger cost control.

3. Monthly Cash Forecast

Month	Collections	Expenses	Base Net CF	Base Closing	Stress Closing	Optimistic Closing
Jan-2026	₹2,130,761	₹868,672	₹1,262,090	₹32,675,228	₹32,268,747	₹32,974,353
Feb-2026	₹2,130,761	₹868,672	₹1,262,090	₹33,937,318	₹33,124,355	₹34,535,568
Mar-2026	₹2,130,761	₹868,672	₹1,262,090	₹35,199,408	₹33,979,964	₹36,096,782
Apr-2026	₹2,130,761	₹868,672	₹1,262,090	₹36,461,497	₹34,835,572	₹37,657,997
May-2026	₹2,130,761	₹868,672	₹1,262,090	₹37,723,587	₹35,691,180	₹39,219,212
Jun-2026	₹2,130,761	₹868,672	₹1,262,090	₹38,985,677	₹36,546,789	₹40,780,426

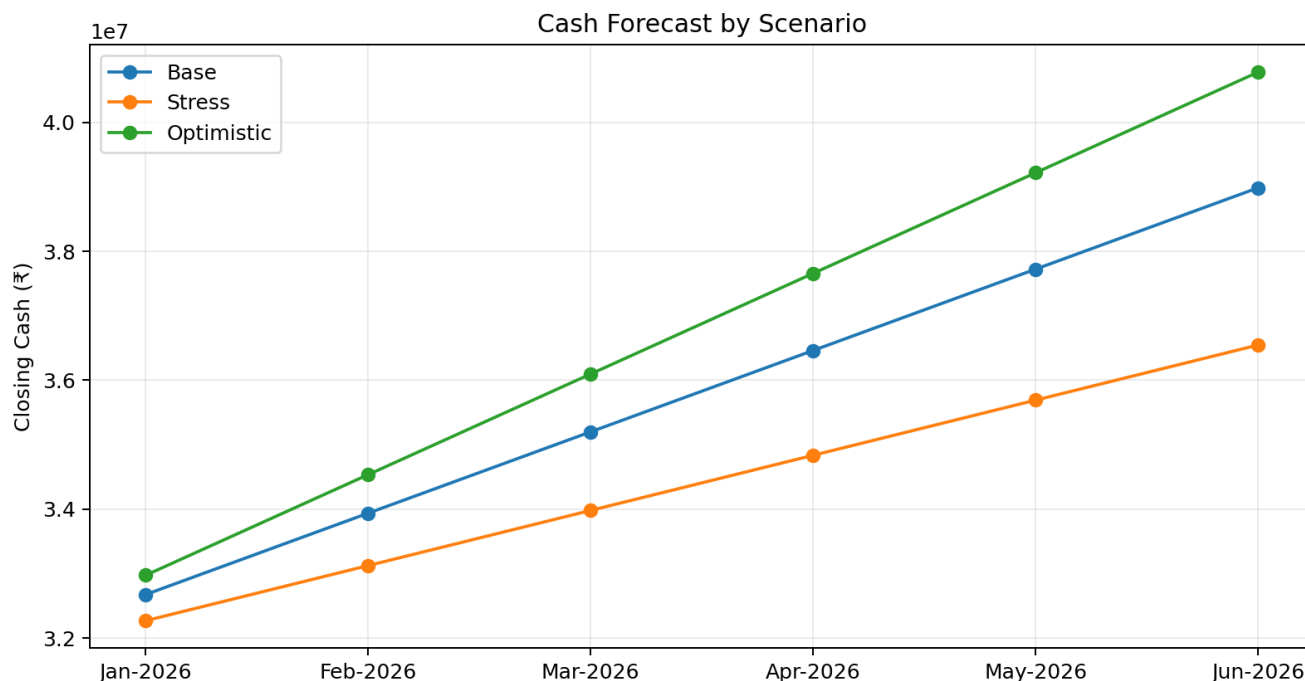


Figure 1. Projected closing cash under the three scenarios.

4. Scenario Analysis

Base Case: Monthly net cash generation is approximately ₹12.62 lakh. Closing cash increases from ₹3.14 crore to ₹3.90 crore by June.

Stress Case: Collections are assumed at 85% of expected collections and expenses at 110% of forecast. Monthly net cash flow falls to approximately ₹8.56 lakh, while June closing cash remains positive at ₹3.65 crore.

Optimistic Case: Collections are assumed at 110% and expenses at 90%. Monthly net cash flow rises to approximately ₹15.61 lakh, resulting in June closing cash of approximately ₹4.08 crore.

5. June 2026 Scenario Comparison

Scenario	June Net Cash Flow	June Closing Cash	Difference vs Base
Stress	₹855,608	₹36,546,789	₹-2,438,888
Base	₹1,262,090	₹38,985,677	₹0
Optimistic	₹1,561,215	₹40,780,426	₹1,794,750

6. Key Cash Flow Risks

- Receivable collection risk: delayed customer payments can reduce actual cash inflows below forecast.
- Expense escalation risk: operating costs may rise above the forecast.
- Forecast concentration risk: stable monthly assumptions should be refreshed using actual performance.
- Liquidity monitoring risk: positive closing cash does not remove the need to monitor receivables and payment commitments.

7. Management Actions

- Review actual collections against forecast every month and update scenario assumptions.
- Prioritize overdue receivables because faster collection directly strengthens cash generation.
- Use the Stress scenario as the minimum liquidity-planning case for discretionary expenditure.
- Maintain a rolling 13-week cash forecast for short-term cash management.
- Set management triggers for material falls in collections or increases in operating expenses.
- Link the cash forecast with receivable ageing and customer-risk reporting.

8. Conclusion

The six-month analysis shows a positive projected cash position across all scenarios. June 2026 closing cash is approximately ₹3.65 crore in Stress, ₹3.90 crore in Base and ₹4.08 crore in Optimistic. Management should use the Stress scenario for liquidity protection and the Base scenario for normal planning, while updating the forecast monthly as actual collections and expenses become available.